



Analyst: Charulata Gaidhani (022) 67141446
Associate: Tanush Mehta (022) 67141432

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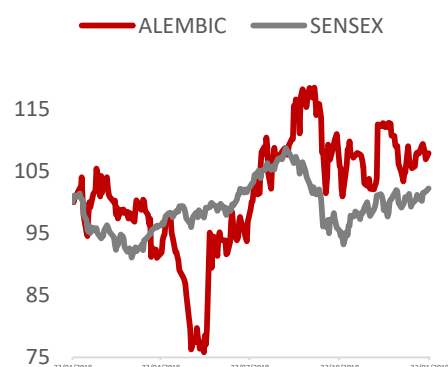
ACCUMULATE

Current Price	592
52 Week Range	664/412

Key Share Data

Market Cap (Rs.bn)	110.80
Market Cap (US\$ mn)	1552.36
No of o/s shares (mn)	188.51
Face Value	2
Monthly Avg. vol (BSE+NSE) Nos'000	58.26
BSE Code	533573
NSE Code	APLLTD
Bloomberg	ALPM:IN

Price performance



% Shareholding	Dec-18	Sep-18
Promoters	72.96	72.96
FII	9.37	9.32
DII	5.20	5.14
Others	12.47	12.58
Total	100	100

Alembic Pharma Ltd. Q3FY19 results were better than expectations. The revenue growth was driven by one time opportunities due to drug shortages in the US for 3-4 products including Valsartan.

Strong revenue growth, profitability rises due to one offs

Sales +21% to Rs 10180 mn mainly from exports (+44% at Rs 4480 mn), India (+5% to Rs 3620 mn) and API (+14% to Rs 2050 mn). Exports from US increased 30% to Rs 3080 mn, due to 3 new launches and a one off component due to the global shortage of Valsartan due to the quarter.

Gross margins improved 260 bps to 75.6%. EBITDA increased 29% to Rs 2420 mn due to increase in employee costs (+35%) and other expenses (+18%). PBT grew 31% to Rs 2107 mn. PAT for the quarter +30% Rs 1697 mn.

Further, as of Q3FY19, India Formulation contributes 36%, International Formulation 44% and API 20%, to the Topline.

Key takeaways from the Concall

- Alembic's cash stands at Rs 2600 mn, with an increase in gross debt to Rs 11310 mn.
- The company plans 7 new US launches in Q4FY19, and 15-20 in FY20.
- There is an apparent erosion in the US base business which is a cause for concern.
- The company will commercialise its dermatology product, approved from the Aleor JV in FY20.
- In Q2FY19, Valsartan's shortage in the US market, gave Alembic a one-off, however in the current quarter, the growth was supported by shortage of some other drugs and 3 new launches made by Alembic.
- Alembic had added a few customers in the European markets during the current quarter which resulted in better sales in the ROW business.
- The company's Panelav plant, which had 4 observations from the USFDA, was cleared during the quarter.
- The company guided a R&D expense of Rs. 5500 mn for FY 19.
- The tax rate was guided at 21% for FY 19.
- The company's Oral Solids plant will start commercial production by H1FY20. Oncology Injectable filings from new plant will be in Q4FY20.
- Orit Inc. (Acquired by Alembic in FY18) had a R&D expenses of Rs. 220 mn in the current quarter.

Outlook & Valuation

With better profitability coming from one time opportunities for 2 consecutive quarters in FY19, and erosion in US base business, the sustainability of APL's profits is a matter of concern. The company's India business has grown at 5%, which is lower than the industry growth of 9%

At Rs 592, APL trades at 20x FY20E EPS of Rs 29.8. We recommend investors to **ACCUMULATE** the stock at current levels.

Key Financials

Year	Net sales	% Growth	EBIDTA	OPM (%)	PAT	% Growth	EPS	PE (x)	RoE (%)	RoCE (%)
FY16	31,659.8	116.0	10,066.8	31.8	7,201.9	453.4	38.2	15.5	45.1	52.9
FY17	31,346.0	(1.0)	6,152.6	19.6	4,068.9	(43.5)	21.6	27.4	21.4	26.2
FY18	31,308.0	(0.1)	6,430.9	20.5	4,209.1	3.4	22.3	26.5	19.0	18.1
FY19E	35,497.7	13.4	8,252.0	23.2	5,194.7	23.4	27.6	21.5	18.4	20.3
FY20E	39,183.9	10.4	9,202.8	23.5	5,613.4	8.1	29.8	19.9	16.2	18.3



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FINANCIALS	Q3FY19	Q2FY19	Q2FY18	% YoY	% QoQ	FY 18	FY 17	% Change
Net Sales	11,271	8,626	7,893	43%	31%	31308	31346	0%
Raw materials	-2,721	-2,554	-2,133	28%	7%	-8855.6	-8581	3%
Employee costs	-1,826	-1,649	-1,595	14%	11%	-6228.1	-5588.3	11%
Other Expenses	-3,701	-7,115	-2,373	56%	-48%	-9793.4	-11024.1	-11%
EBIDTA	3,024	1,511	1,792	69%	100%	6430.9	6152.6	5%
EBIDTA Margins (%)	27%	18%	23%			21%	20%	
Depreciation	-286	-276	-257	12%	4%	-1054.6	-829.7	27%
Finance Cost	-58	-16	-4	1560%	270%	-34	-52.3	-35%
Other income	24	1	77	-69%	2270%	70.3	20.2	248%
Profit before tax	2,703	1,220	1,608	68%	122%	5412.6	5290.8	2%
PBT Margins (%)	24%	14%	20%			17%	17%	
Provision for tax	-703	-315	-366			1203.5	-1221.9	
PAT	2,000	905	1,243	61%	121%	4,209	4,069	3%
PAT Margins (%)	18%	10%	16%			13%	13%	
EPS (Rs)	10.6	4.81	6.5			21.9	21.4	



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Alembic Pharmaceuticals Limited											
P&L (Rs mn)	FY16*	FY17	FY18	FY19E	FY20E	Cash Flow St. (Rs. mn)	FY16*	FY17	FY18	FY19E	FY20E
Net Sales	31,659.8	31,346.0	31,308.0	35,497.7	39,183.9	Net Profit	7,201.9	4,068.9	4,209.1	5,194.7	5,613.4
						Add: Dep. & Amort.	722.1	829.7	1,054.6	1,187.4	1,637.4
Raw materials	(7,811.3)	(8,581.0)	(8,855.6)	(9,761.9)	(10,579.7)	Cash profits	7,924.0	4,898.6	5,263.7	6,382.1	7,250.8
Employee costs	(4,728.5)	(5,588.3)	(6,228.1)	(6,975.5)	(8,021.8)						
Other Expenses	(9,053.2)	(11,024.1)	(9,793.4)	(10,508.4)	(11,379.7)	(Inc)/Dec in					
Cost of sales	(21,593.0)	(25,193.4)	(24,877.1)	(27,245.7)	(29,981.1)	-Sundry debtors	(335.4)	(405.0)	(826.1)	(1,875.2)	(1,058.1)
						-Inventories	(80.9)	(439.5)	(717.0)	(1,011.8)	(1,413.6)
Operating Profit	10,066.8	6,152.6	6,430.9	8,252.0	9,202.8	-Loans/advances	651.6	(364.8)	1,887.0	-	-
Depreciation	(722.1)	(829.7)	(1,054.6)	(1,187.4)	(1,637.4)	-Others	(242.3)	516.0	(351.7)	3,159.9	720.0
PBIT	9,344.7	5,322.9	5,376.3	7,064.6	7,565.4						
Other income	72.7	20.2	70.3	73.8	77.5	Change in working capital	(7.0)	(693.3)	(7.7)	272.9	(1,751.6)
Interest	(54.3)	(52.3)	(34.0)	(493.3)	(455.8)	CF from Oper. activities	8,950.4	3,333.6	3,155.7	3,635.8	5,447.4
Profit before tax	9,363.1	5,290.8	5,412.6	6,645.1	7,187.1	CF from Inv. activities	(2,902.4)	(4,824.6)	(9,084.2)	(3,327.9)	(4,563.6)
Provision for tax	(2,161.2)	(1,221.9)	(1,203.5)	(1,450.4)	(1,573.7)						
Reported PAT	7,201.9	4,068.9	4,209.1	5,194.7	5,613.4	CF from Fin. activities	(1,801.5)	(1,421.3)	5,231.6	(46.6)	947.4
Extraordinary Items	-	-	-	-	-						
Adjusted PAT	7,201.9	4,068.9	4,209.1	5,194.7	5,613.4	Cash generated/(utilised)	4,246.5	(2,912.3)	(696.9)	261.3	1,831.3
						Cash at start of the year	261.8	4,508.3	1,596.0	899.1	1,160.4
						Cash at end of the year	4,508.3	1,596.0	899.1	1,160.4	2,991.6
Balance Sheet	FY16*	FY17	FY18	FY19E	FY20E	Ratios	FY16*	FY17	FY18	FY19E	FY20E
Equity capital	377.0	377.0	377.0	377.0	377.0	OPM	31.8	19.6	20.5	23.2	23.5
Reserves	15,596.6	18,646.3	21,824.4	27,874.2	34,361.1	NPM	22.7	13.0	13.4	14.6	14.3
Net worth	15,973.6	19,023.3	22,201.4	28,251.2	34,738.2	Tax rate	(23.1)	(23.1)	(22.2)	(21.8)	(21.9)
Debt	1,137.1	885.1	7,077.8	6,077.8	6,077.8	Growth Ratios (%)					
Other non current liab	130.5	-	-	-	-	Net Sales	116.0	(1.0)	(0.1)	13.4	10.4
Deferred tax liabilities	427.4	369.3	354.4	400.8	441.5	Operating Profit	358.8	(38.9)	4.5	28.3	11.5
Minority Interest	-	1.1	3.1	2.5	1.8	PAT	453.4	(43.5)	3.4	23.4	8.1
CAPITAL EMPLOYED	17,668.6	20,278.8	29,636.7	34,732.3	41,259.2						
Gross block	7,800.5	9,500.9	11,831.7	19,831.7	23,831.7	Per Share (Rs.)					
Accumulated depreciation	719.6	1,506.9	2,561.5	3,748.9	5,386.3	Net Earnings (EPS)	38.2	21.6	22.3	27.6	29.8
Net block	7,080.9	7,994.0	9,270.2	16,082.8	18,445.4	Cash Earnings (CPS)	42.0	26.0	27.9	33.9	38.5
Capital WIP	925.2	3,692.8	9,107.6	3,000.0	3,000.0	Dividend	1.4	2.5	3.8	3.8	4.0
Total fixed assets	8,006.1	11,686.8	18,377.8	19,082.8	21,445.4	Book Value	84.7	100.9	117.8	149.9	184.3
Other Intangible Assets	-	-	625.9	751.1	901.3	Free Cash Flow	32.1	(7.9)	(31.4)	1.6	4.7
Intangible asset under dev.	-	270.0	993.9	1,192.7	1,431.2						
Goodwill	-	-	37.7	41.5	45.6	Valuation Ratios					
Deferred Tax Asset	-	-	34.5	-	-	P/E(x)	15.5	27.4	26.5	21.5	19.9
Investments	534.1	498.8	416.4	1,416.4	1,416.4	P/B(x)	7.0	5.9	5.0	4.0	3.2
Other Non current assets	632.9	712.4	711.4	853.7	1,024.4	EV/EBIDTA(x)	10.7	17.9	18.2	13.9	12.3
Inventories	5,697.9	6,327.5	7,339.3	8,752.9	9,661.8	EV/SALES(x)	3.4	3.5	3.7	3.2	2.9
Trade Receivables	3,504.8	3,388.2	5,263.4	6,321.5	6,978.0	Div. Yield(%)	0.2	0.4	0.6	0.6	0.7
Cash & Bank	4,508.3	1,596.0	899.1	1,160.4	2,991.6	FCF Yield(%)	5.4	(1.3)	(5.3)	0.3	0.8
Other current assets	1,401.6	2,412.9	4,711.0	5,653.2	6,783.8						
Loans & Advances	-	-	-	-	-	Return Ratios (%)					
Current Liab	6,617.1	6,613.8	9,773.7	10,493.7	11,420.4	ROE	45.1	21.4	19.0	18.4	16.2
						ROCE	52.9	26.2	18.1	20.3	18.3
CAPITAL DEPLOYED	17,668.6	20,278.8	29,636.7	34,732.3	41,259.2	* includes day 1 launch of gABILIFY					



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Contact	Email ID	Contact No.	Sector
Mr. Kunal Bhatia	kunal.bhatia@dalal-broacha.com	022 67141442	Auto, Auto Ancillary, FMCG
Ms.Charulata Gaidhani	charulata.gaidhani@dalal-broacha.com	022 67141446	Pharma /Healthcare
Ms. Abhilasha Satale	abhilasha.satale@dalal-broacha.com	022 67141439	Midcaps
Mr. Suraj Nandu	suraj.nandu@dalal-broacha.com	022 67141438	Associate
Ms. Nidhi Babaria	Nidhi.babaria@dalal-broacha.com	022 67141450	Associate
Mr. Tanush Mehta	tanush.mehta@dalal-broacha.com	022 67141432	Associate

Address: - 508, Maker Chambers V, 221 Nariman Point, Mumbai 400 021
Tel: 91-22- 2282 2992, 2287 6173, (D) 6630 8667 Fax: 91-22-2287 0092
E-mail: research@dalalbroachaindia.com, equity.research@dalal-broacha.com